



MIDTERM EXAMINATION
Spring 2010
MGT602- Entrepreneurship
Solved by vuZs Team
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Time: 60 min
Marks: 47

Question No: 1 (Marks: 1) - Please choose one

A typical inventor is usually _____.

► **Highly creative & in love with the invention**

- Does not encourage change
- Willing to modify the invention in order to augment commercial benefit
- None of the given options

Inventor: An individual who creates something new

Question No: 2 (Marks: 1) - Please choose one

Being one's own boss is a need of:

► **Independence**

- Achievement
- Affiliation
- Authority

Need for independence: Being one's own boss-one of the strongest needs of an entrepreneur.

Question No: 3 (Marks: 1) - Please choose one

The difference between the value of a country's imports and exports over time is called:

- Deficit exports
- Deficit imports
- **Balance of payment**
- Balance of debt

A balance of payments (BOP) sheet is an accounting record of all monetary transactions between a country and the rest of the world. These transactions include payments for the country's exports and imports of goods, services, and financial capital, as well as financial transfers.

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Question No: 4 (Marks: 1) - Please choose one

A/an _____ is an online connection between the company and its customers.

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- ▶ Internet advertising
- ▶ **Website**
- ▶ E-Commerce
- ▶ World Wide Web

Website: A website is an online connection between the company and its customers and can be developed in-house or outsourced. There are several important features of every website.

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Question No: 5 (Marks: 1) - Please choose one

Which of the following grants protection to owner from anyone else making, using and selling the identified innovation?

- ▶ **Utility patent**
- ▶ Design patent
- ▶ Plant patent
- ▶ International patent

Utility Patents: A utility patent has a term of 17 years, beginning on the date the Patent and Trademark Office (PTO) issues it. The patent grants the owner protection from anyone making, using, and/or selling the invention.

Question No: 6 (Marks: 1) - Please choose one

All of the following are essentials to maintain secrecy, EXCEPT:

- ▶ Train employees to refer sensitive questions to one person
- ▶ **Discuss business in public places**
- ▶ Provide escorts for all office visitors
- ▶ Use simple security such as locked file cabinets

To maintain secrecy

1. Train employees to refer sensitive questions to one person.
2. Provide escorts for all office visitors.
3. Avoid discussing business in public places.
4. Use simple security such as locked file cabinets and shredders.

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Question No: 7 (Marks: 1) - Please choose one

Who should prepare the business plan?

- ▶ **Entrepreneurs**
- ▶ Consultants
- ▶ Engineers
- ▶ Small business administration services

A business plan is a written document prepared by the entrepreneur that describes all the relevant external and internal elements involved in starting a new venture.

Question No: 8 (Marks: 1) - Please choose one

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Which of the following body issues patents?

- ▶ GATT
- ▶ NAFTA
- ▶ FTA
- ▶ **PTO**

Patents are issued by the Patent and Trademark Office (PTO.)

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Question No: 9 (Marks: 1) - Please choose one

The product life cycle starts with which stage of product planning and development process?

- ▶ Test marketing stage
- ▶ Product development stage
- ▶ Commercialization stage
- ▶ **Product planning and development process is a part of product life cycle**

Question No: 10 (Marks: 1) - Please choose one

Developing a new idea through inquiry and testing is called:

- ▶ Heuristics
- ▶ Forced relationship
- ▶ **Scientific method**
- ▶ Value analysis

Question No: 11 (Marks: 1) - Please choose one

Which one of the following gives suggestions for new product and also help to market new products?

- ▶ Existing products and services
- ▶ **Distribution channels**
- ▶ Federal government
- ▶ Consumers

Distribution Channels Because they are familiar with the needs of the market, channel members often have suggestions for new products. These channel members can also help in marketing the new product.

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Question No: 12 (Marks: 1) - Please choose one

Trade barriers cause:

- ▶ **Increase in cost**
- ▶ Decrease in cost
- ▶ Increase in profit
- ▶ None of the given options

Trade barriers increase the costs of exporting projects to a country.

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Question No: 13 (Marks: 1) - Please choose one

A person who managed large project was termed as the entrepreneur in the _____.

- ▶ Earliest period
- ▶ **Middle ages**
- ▶ 17th century
- ▶ 19th and 20th century

Middle Ages: In this age the term entrepreneur was used to describe both an actor and a person who managed large production projects.

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Question No: 14 (Marks: 1) - Please choose one

Which of the following is **NOT** a potential cost of becoming an entrepreneur?

- ▶ Financial reward
- ▶ Long hours
- ▶ **Financial insecurity**
- ▶ Loneliness

Question No: 15 (Marks: 1) - Please choose one

Factors contribute to the creation of new venture **EXCEPT**:

- ▶ Government
- ▶ Finance
- ▶ **High interest rates**
- ▶ Role models

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Question No: 16 (Marks: 1) - Please choose one

Most of the finance for the new firm comes from following resources **EXCEPT**:

- ▶ Friends
- ▶ **Foreign aid**
- ▶ Relatives
- ▶ Personal savings

Most start-up money comes from personal savings, credit, and friends, but there is often a need for additional capital.

Question No: 17 (Marks: 1) - Please choose one

What is the process by which individuals pursue opportunities without regard to resources they currently control?

- ▶ Startup management
- ▶ **Entrepreneurship**

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- ▶ Financial analysis
- ▶ Feasibility planning

Entrepreneurship is a process by which individuals pursue opportunities without regard to the resources which they currently control.

Question No: 18 (Marks: 1) - Please choose one

Which of the following is **NOT** included in the opportunity evaluation process?

- ▶ Length of the opportunity
- ▶ Real and perceived value of opportunity
- ▶ **Goals and objectives of customers**
- ▶ Risks and rewards of opportunity

The evaluation process involves looking at

- The creation and length of the opportunity
- Its real and perceived value
- Its risks and return.
- It's fit with the skills and goals of the entrepreneur
- Its differential advantage in its competitive environment

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Question No: 19 (Marks: 1) - Please choose one

The difference of the entrepreneurial and managerial domains has contributed towards an increase interest in which of the following?

- ▶ Forming new firms
- ▶ Partnership
- ▶ **Intrapreneurship**
- ▶ Private firms

The differences in the entrepreneurial and managerial domains have contributed towards an increased interest in corporate entrepreneurship.

Question No: 20 (Marks: 1) - Please choose one

Which is the most common cause of business failure?

- ▶ Insufficient capital
- ▶ Unstable market
- ▶ Insufficient experience
- ▶ **Poor entrepreneurship**

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Question No: 21 (Marks: 1) - Please choose one

In which one of the following countries the entrepreneurial success has been significant because of the culture, the political and economic systems?

- ▶ European countries
- ▶ **Asian countries**

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- ▶ Far East countries
- ▶ Middle East countries

Entrepreneurial success in some Asian countries has been significant because of the culture and the political and economic systems.

Question No: 22 (Marks: 1) - Please choose one

Moral support network includes all of the following **EXCEPT**:

- ▶ Spouses
- ▶ Friends
- ▶ **Business associates**
- ▶ Relatives

Moral-Support Network It is important for the entrepreneur to establish a moral support network of family and friends. Most entrepreneurs indicate that their spouses are their biggest supporters.

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Question No: 23 (Marks: 1) - Please choose one

Professional support network includes all of the following **EXCEPT**:

- ▶ Personal affiliations
- ▶ Mentor
- ▶ Trade associations
- ▶ **Friends**

1. A mentor-protégé relationship is an excellent way to secure the needed professional advice.
2. Affiliations with individuals developed in hobbies, sporting events, civic involvements and school alumni groups are excellent sources of referrals, advice, and information.
3. Trade associations are good network additions, as they keep up with new developments and can provide overall industry data.

Question No: 24 (Marks: 1) - Please choose one

The former USSR received technology and syrup from Pepsi and provided it with Soviet vodka and rights to distribute it in the US. This is an example of:

- ▶ Economic development
- ▶ **Barter system**
- ▶ Balance of payment
- ▶ International trade

Type of System Barter or third-party arrangements have been used to increase business activity with the Commonwealth of Independent States, the former U.S.S.R.

Question No: 25 (Marks: 1) - Please choose one

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_____ is prepared on the bases of levels of the internal structure of the business.

► **Organizational Plan**

- Production Plan
- Marketing Plan
- Financial Plan

The organizational plan section should describe the venture's form of ownership. If the venture is a corporation, this should include the number of shares authorized, share options, and names and addresses of the directors and officers. It is helpful to provide an organization chart indicating the line of authority. This chart shows the investor who controls the organization and how members interact.

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Question No: 26 (Marks: 1) - Please choose one

Which of the following abilities must be possessed by an entrepreneur?

- Creative
- Conceptualization
- Understanding environment
- **All of the given options**

Question No: 27 (Marks: 1) - Please choose one

Which of the following is NOT a guiding principle in a traditional corporate culture?

- Follow given instructions
- **Take responsibility and ownership**
- Do not take initiative
- Do not make mistakes

The guiding principles in a traditional corporate culture are:

1. Follow instructions given
2. Do not make mistakes
3. Do not fail
4. Do not take initiative
5. Stay within your turf and protect your backside
6. This restrictive environment is not conducive to creativity, flexibility, and risk taking.

Question No: 28 (Marks: 1) - Please choose one

In order to minimize the negative effect of any disruption in an organization, which of the following characteristics an intrapreneur must possess?

- **He should be diplomatic**
- He should be conservative
- He should be autocratic
- He should be authoritative

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The intrapreneur must be a good diplomat to minimize disruption.

Question No: 29 (Marks: 1) - Please choose one

According to research, when do the female entrepreneurs tend to start their first significant venture?

- ▶ In their mid 20s
- ▶ **In their mid 30s**
- ▶ In their mid 40s
- ▶ In their mid 50s

Generally, male entrepreneurs start their first venture in their early 30s, while women tend to do so in their middle 30s.

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Question No: 30 (Marks: 1) - Please choose one

Which of the following best defines “horizontal merger”?

▶ **It refers to combining at least two firms doing similar businesses at the same market level**

- ▶ It refers to forming a third company by combining two companies
- ▶ It refers to having more than 50 percent ownership position
- ▶ It refers to combining at least two firms at different market levels

Horizontal merger: Combination of at least two firms doing similar businesses at the same market level.

Question No: 31 (Marks: 1) - Please choose one

Which of the following is an example of rising number of women entrepreneurs in China?

- ▶ **Guau Guarymei**
- ▶ Wataru Ohashi
- ▶ Kazuhiko Nishi
- ▶ Li Ka-Shing

Reference by Sweet Doll:

Guau Guarymei is an example of a rising number of women entrepreneurs in China.

Question No: 32 (Marks: 1) - Please choose one

Identify the statement which best defines “checklist method”

▶ **It refers to developing a new idea through a list of related issues**

- ▶ It refers to a group method for obtaining new ideas focusing on the negative
- ▶ It refers to a method for individuals to solve problems through one of four mechanisms
- ▶ It refers to a method for developing new ideas when the individuals are unaware of the problem

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Checklist method: Developing a new idea through a list of related issues is checklist method of problem solving.

Question No: 33 (Marks: 1) - Please choose one

Which of the following best describes “contract”?

- ▶ **It refers to a legally binding agreement between two parties**
- ▶ It grants holder protection from others making, using or selling similar idea
- ▶ It may be a word, symbol, design or some combination that identifies the source of certain goods
- ▶ It refers to a legal document giving official permission to do something

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Question No: 34 (Marks: 1) - Please choose one

Which of the following is the title or cover page that provides a brief summary of the business plan’s content?

- ▶ **Introductory page**
- ▶ Executive summary
- ▶ Environmental and industry analysis
- ▶ Description of venture

Introductory Page: The title page provides a brief summary of the business plan’s contents,

Question No: 35 (Marks: 3)

How the business plan is presented to potential investors?

Question No: 36 (Marks: 5)

Which factors should be studied by entrepreneur to conduct environmental analysis

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Question No: 37 (Marks: 5)

While entering into the international market the companies usually have strategic planning process. What should be considered in the strategic planning?

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